



MINING A COMPELLING TURNAROUND



INDIA'S #1
MERCHANT SELLER OF
LIGNITE

INDIA'S #2
PRODUCER OF
LIGNITE

Faced with challenging times in the past decade, Gujarat Minerals Development Corporation Ltd. (GMDC) elevated its financial

performance, built capabilities and created a sense of resiliency and momentum, showcasing how the right moves pay off.

A MOTIVATING STORY OF CHANGE

The new leadership team of Chairman, Rajiv Kumar Gupta (IAS - 1986 batch) and Managing Director, Roopwant Singh (IAS - 2003 batch) undertook a plethora of strategies for organisational restructuring to put GMDC on a sustainable-growth path. It's foraying deeper into other minerals and exploring opportunities to diversify into related sectors, besides growing its lignite business. Incorporated in 1963, Ahmedabad-based GMDC is a critical supplier of lignite to industrial units in Gujarat. In Lignite mining, a production target of 85.52 Lakh MT was achieved in FY 21-22 compared to 60.09 Lakh MT in FY2020-21. Non-lignite production figures achieved in FY 21-22 is 13.08 Lakh MT as against 6.93 Lakh MT in FY 20-21

MAKING INDIA SELF-RELIANT

Going by Hon'ble Prime Minister Narendra Modi's Atmanirbhar Bharat Abhiyaan, the company's primary aim is to enable India become self-reliant in production of Lignite and Bauxite, resulting in savings on imports.

EMBARKING ON AN ACCELERATED GROWTH PATH

TACKLING INEFFICIENCIES

GMDC has a diversified portfolio of thermal and renewable power, comprising wind and solar power generation projects. The new management tackled inefficiencies stringently. Under-performing thermal stations were fortified with new systems, with an advisor appointed for them. It has lined up capital investments of ₹450 Crore in FY2023 and will continue focussing on increasing volumes and improving profitability of non-lignite operations.

FUTURE-PROOFING GMDC WITH REE FORAY

GMDC is planning to develop a complete Rare Earth Elements (REE) ecosystem, and has been scouting for them in Chhotaudepur in Gujarat for this project. REE forms a necessary component of over 200 products across a wide range of applications, especially high-tech consumer products.

SEEKING PROFESSIONAL SUPPORT

GMDC has hired top consultants, including BCG, McKinsey & Company and AT Kearney to help operationalise the new lignite coal mines, augment its metals operations to reduce coal dependence and support India in its green energy initiatives. BCG is working on transforming the non-lignite business - which currently contributes 15-20% to the total revenue, to touch 50% in the near future.

DELIVERING VALUE IN A CONTINUALLY CHANGING WORLD

GMDC is looking to partner with cement makers across India and become a long-term limestone supplier: putting its 1,700 million tonnes of limestone reserves to commercial use. Parallely, it's working on setting up a lignite beneficiation plant, and seeking to explore and mine magnesium, copper and zinc.

FOCUSSED ON SAFETY FIRST

- Winner of National Safety Awards (Mines) for Longest Accident-Free Period (LAFP) and Lowest Injury Frequency Rate (LIFR)
- Implemented a robust Safety Management Plan (SMP)

MOVING AHEAD

GMDC has strategic plans to further deepen its presence, by ramping its capacity of lignite production to 15 MT by FY2025. "We are actively working on six new lignite projects: each of these requiring ₹200-250 Crore of initial capital investment, to be funded through internal accruals," added Roopwant Singh.



SERVING COMMUNITIES

Guided by its core values, GMDC prioritises health and well-being and safeguards communities in different ways to drive progress in the society. It works closely to support affected communities around manufacturing locations.

IMPROVING THE ENVIRONMENTAL FOOTPRINT

Planted 94,067 saplings in FY2021, covering 41,772 hectares of mine lease and residential colony areas.

In the last Financial Year

PBT up by
1400% ▲

Production up by
40% ▲

Market Capital up by
342% ▲
as on 31/03/2022

Net Worth up by
17% ▲
as on 31/03/2022

**EXPLORING
LIMITLESS
POSSIBILITIES**

With a cohesive and unified strategy in place to maximise its true potential, enhance strength of its operations and develop adjunct businesses, GMDC foretells a compelling story that motivates.

www.gmdcltd.com

